

Economy of Bangladesh



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Objectives of this Class

- Learning more about the historical background of our economy.
- To examine the Economical nature of Bangladesh.
- To know about various development planning in BD: vision 2021, SDGs, 2041, and Delta Plan-2021
- Understand the concept Gig economy and Blu economy
- To increase our foreign investment so that, our economical development can grow rapidly.
- To gain more knowledge about various economical developing sector.
- To know about the vision 2021 expectations and SDGs
- To identify some common problems in economic sector in Bangladesh & how to get rid of this problems.

Historical Background of the Economy of BD

- ❖ **Sheikh Mujib era:** Between 1972 to 1975, the government of Bangladesh took nationalization policy. That means nationalized economy or, state own economy.
- ❖ **Ziaur Rahman era:** Between 1976 to 1981, nationalized economy to denationalized economy
- ❖ **Ershad era:** Between 1982 to 1990, he focused on denationalized economy, more specially development of Private sector (Establishment of Privatization Board in 1989).
- ❖ **Begum Khaleda Zia era:** Between 1991 to 1996 and between 2001 to 2006, More importance was given to trade, and a roving trade representative of the country was appointed. In the economic interest of the nation, the policymakers of Bangladesh would come closer to India for regional and bilateral economic cooperation.
- ❖ **Sheikh Hasina era:** Between 1996 to 2001, and 2008-till, focused on Foreign Investment; International Migration and Remittances; and Implementation of Mega Projects. She explained the concept of "Bay of Bengal Industrial Growth Belt (BIG-B)", the improvement of investment environment and regional connectivity.

Nature of the Economy of BD

- ☐ It is a mixed economy (Public and Private)
- ☐ Patronizing money or free market economy
- ☐ Making open border relationship with rest of the world
- ☐ Developing the concept of privatization
- ☐ Highly depending on national and international loan
- ☐ Depended on development actors, organizations and countries
- ☐ Emphasizing on foreign direct investment (FDI)
- ☐ Depended on Foreign Remittance and Labor market
- ☐ Majority export income come from RMG Industry
- ☐ Public-Private partnership newly introduced

Approaches to Development Planning in BD

Development planning provides the road map for accelerated growth and lays down broad approaches for eradication of poverty, inequality, and human deprivation. Bangladesh's economy has been an orphan without a long-term perspective plan, more like a vessel without a compass. Marking vision 2021 a reality, is a strategic articulation of the development vision, mission, and goals of the Bangladesh government. To make the Vision 2021 a reality, the Perspective Plan of Bangladesh 2010-2021 was adopted. Specific strategies and the task of implementation will be articulated through the two five-year plan: Sixth Five Year Plan (2011-2015) and the Seventh Five Year Plan (2016-2020) which are further broken down as Annual Development Plans.

Plan Period	Annual average growth (%)	
	Target	Actual
First five year plan (FY1973-FY1978)	5.5	4.0
Two year plan (FY1978-FY1980)	5.6	3.5
Second five year plan (FY1980-FY1985)	5.4	3.8
Third five year plan (FY1985-FY1990)	5.4	3.8
Fourth five year plan (FY1990-FY1995)	5.0	4.2
Fifth five year plan (FY1997-FY2002)	7.0	5.1

জিডিপিতে বিভিন্ন খাতের অবদান (%)



Fiscal Year: 2019-2020

Vision 2021 Expectations

The expectations are that by 2021, **the war against poverty will have been won, the country will have crossed the middle income threshold, with the basic needs of the population ensured and their basic rights respected, when everyone is adequately fed, clothed and housed, and have access to health care.** And all this is achieved on a sustainable basis without damaging the environment. Furthermore, this progress will be ensured in an environment where every citizen has the opportunity fully and positively to contribute to the economy and society and equitably share the benefits from progresses achieved.

Sustainable Development Goals (SDGs)

In September 2015, the UN General Assembly adopted a new development agenda for the period 2016–2030 that includes a set of sustainable development goals (SDGs)

There are 17 **SDGs** with **169** associated targets that are supported by three pillars of sustainability:

1. Economic development
2. Environmental protection
3. Social equity



Vision 2041 Expectations

The government's Vision 2041, which is a continuation of Vision 2021, aims to carry the development journey of Bangladesh that Bangabandhu had dreamed of – to end absolute poverty and to graduate into a higher middle-income status by 2031 and a developed country by 2041.

The per capita income will be US\$ 5500 by 2031 while it will be US\$ 16000 in 2041.

Bangladesh Delta Plan 2100

The BDP 2100 seeks to integrate the medium to long term aspirations of Bangladesh to **achieve upper middle income (UMIC) status and eliminate extreme poverty by 2030 and being a prosperous country beyond 2041** with the longer term challenge of sustainable management of water, ecology, environment and land resources in the context of their interaction with natural disasters and climate change.

Higher Level Goals

Goal 1: Eliminate extreme poverty by 2030;

Goal 2: Achieve upper middle income status by 2030; and

Goal 3: Being a Prosperous Country beyond 2041.

Bangladesh Delta Plan 2100

BDP 2100 Specific Goals

Goal 1: Ensure safety from floods and climate change related disasters;

Goal 2: Enhance water security and efficiency of water usages;

Goal 3: Ensure sustainable and integrated river systems and estuaries management;

Goal 4: Conserve and preserve wetlands and ecosystems and promote their wise use;

Goal 5: Develop effective institutions and equitable governance for in-country and trans-boundary water resources management; and

Goal 6: Achieve optimal and integrated use of land and water resources.

Budgeting in Bangladesh

Budget is an itemized estimate of expected income and expense for a given period in the future. A government budget is a government document presenting the government's proposed revenues and spending for a financial year. Major institutions in budget formulation & implementations in BD are:

- Ministry of Finance

1. Finance Division: overall & expenditure
2. Internal Resource Division- domestic
3. Economic Relations Division- external

- Ministry of Planning- FYP, ADP

- Planning Commission- Coordinating & finalization of investment plans

- IMED - Implementation Monitoring and Evaluation Division

- Line Ministries- Scrutinizing demand

- Directorate/Offices- Organizing demand

Preparation of Revenue Budget

The **revenue budget** pays for the normal functioning of the government and is intended to be fully financed from domestically generated sources. The Ministry of finance and planning is responsible for the preparation of revenue budget in cooperation with different ministries/divisions and account offices. The steps of the preparation of revenue budget are-

a) Distribution of forms

It means the process of distribution of budget forms. It includes Estimating officer's forms and controlling officer's forms.

b) Submission of estimates to the Finance division

It means the process by which the accountant general submits the final estimates of receipt and expenditure to the finance division.

c) Finalization of estimates

The budget wing of the finance division examines the estimate report from the controlling officers and accountant general. Then it makes the final best judgment about the budget.

d) Schedule of new expenditure

It means the detection of some new expenditure for the upcoming year. Though it is a part of revenue budget, sometimes it can be presented separately.

National Budget of Bangladesh: FY 2019-20



PROPOSED BUDGET FY 2019-20

GDP GROWTH
8.2%

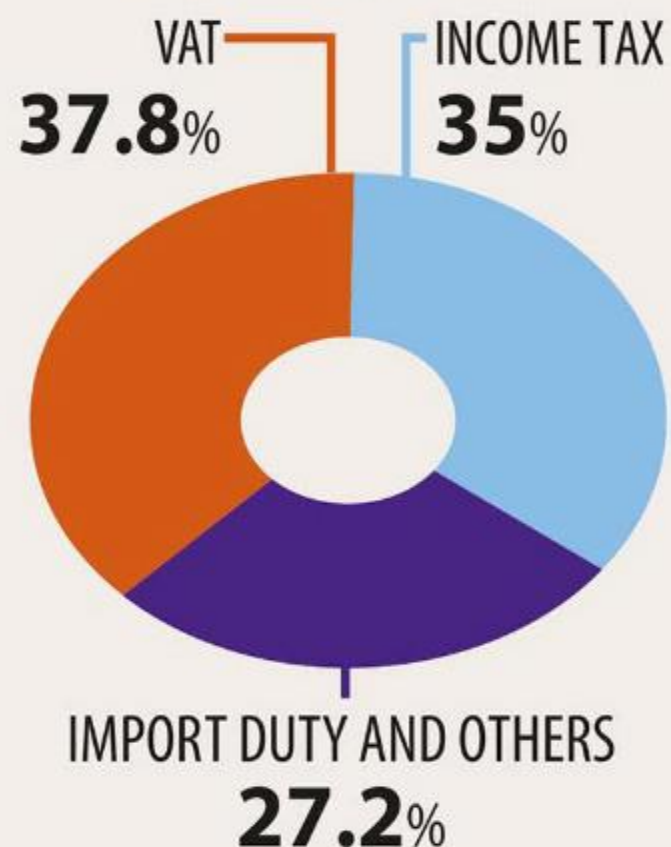
INFLATION
5.5%

TOTAL REVENUE

Tk **3,77,810** cr

NBR EARNINGS

Tk **3,25,600** cr



NON-NBR EARNINGS

Tk **52,210** cr

BUDGET SIZE

Tk **5,23,190** cr

DEVELOPMENT BUDGET

Tk **2,02,721** cr

NON-DEVELOPMENT BUDGET

Tk **3,10,262** cr

DEFICIT

5% OF GDP OR

Tk **1,45,380** cr

BANK BORROWING

Tk **47,364** cr

FOREIGN SOURCE

Tk **63,848** cr

NON-BANK BORROWING

Tk **30,000** cr

Role of Key Financial Organizations

There are three key financial bodies which determine and execute the development budget of Bangladesh. These are:

- ☐ **Planning Commission**
- ☐ **National Economic Council (NEC)**
- ☐ **Executive Committee of the National Economic Council (ECNEC)**

Role of Key Financial Organizations (ECNEC)

According to available records, the **composition and functions** of ECNEC are laid down in the **Cabinet Division Resolution in 1982**. However, the said resolution supersedes all previous orders in this respect.

Composition of ECNEC

- ☐ Prime Minister - Chairperson
- ☐ Finance Minister - Alternate Chairperson
- ☐ Planning Minister – Vice Chairperson
- ☐ All members of cabinet work as a member of ECNEC.

Functions of the ECNEC

- ❑ Consider and approve all project concept papers;
- ❑ Consider and approve development projects recommended by Special Project Evaluation Committee costing above taka 5 crore;
- ❑ Consider and approve investment projects in the private sector costing above taka 15 crore;
- ❑ Review the progress of implementation of development project and monitor economic situation and economic activities of the country and review policies;
- ❑ Consider proposals for investment companies as private or joint ventures or with foreign participation;

Functions of the ECNEC

- ❑ Promote the economic situation and review over-all performance of the economy and related policy issues;
- ❑ Consider financial performance of statutory corporations and specially their financial results;
- ❑ Consider rates, fees and prices of public utility services or products of public enterprises.
- ❑ Consider measures relating to foreign aid, expansion of commerce and determine targets for the Bangladesh missions abroad in respect of export of manpower including review of progress in these areas.

Recent Economic Trends in BD: on Right Track?

- ❑ The country's foreign exchange reserve is reported to have hit a new high with a record of \$33 billion.
- ❑ The central bank has targeted average inflation at 6.5 per cent for fiscal year 2015. The rate was 7.4 per cent in the previous fiscal. Empirical evidences show that 6-7 per cent inflation goes well with economic growth.
- ❑ Bangladesh is expected to receive \$15.05 billion in 2014 which is enough to retain the last year's eighth position among top ten remittance-earning countries.
- ❑ Investment is sluggish due to poor investment climate. Private sector credit growth went down to a 13-year low of 10.4 percent in February'14. But things started taking a U-turn since then and the growth rose to 12.3 percent in June.
- ❑ Garment still accounts for 80% of the export basket, despite domestic optimism about the pharmaceutical sector, which makes up only 0.5 percent. So Bangladesh needs to diversify its export basket.

Sources: 1 Abdul Bayes, *Positive Trends in the Economy*, *Economic Observer*, August 2014

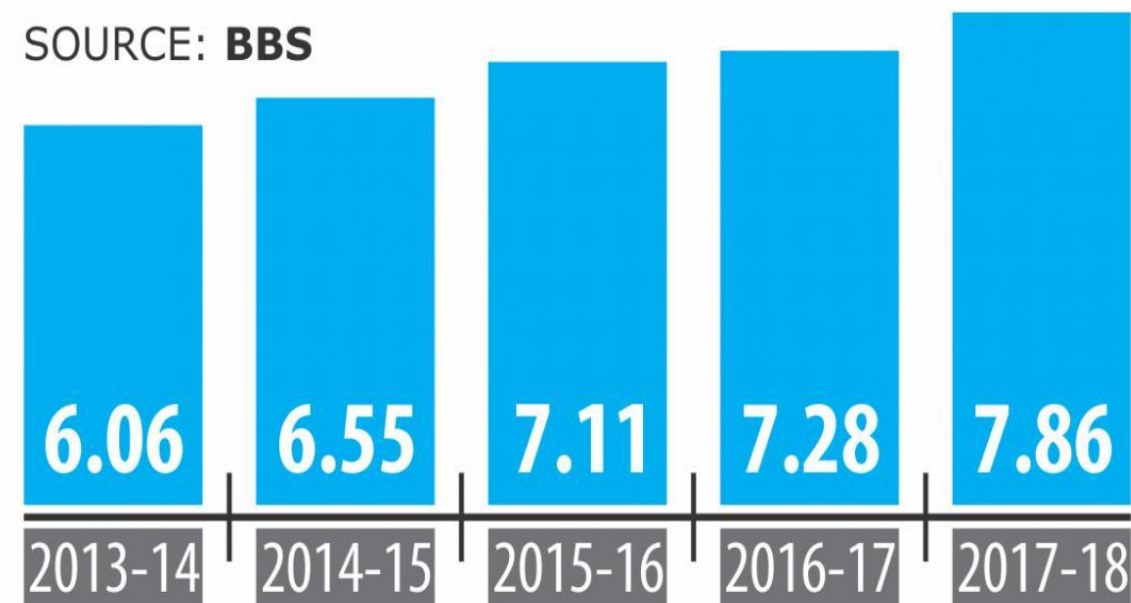
2 *The Daily Star*, Thursday, October 09, September 26, 2014

Recent Economic Trends in BD: on Right Track?

Bangladesh's economy has grown 8.13 per cent this fiscal year, the highest in its history, Finance Minister AHM Mustafa Kamal said while releasing a provisional estimate. FDI flows to Bangladesh rose by 68% to a record level of \$3.6 billion (UNCTAD, 2019).

GDP GROWTH (in %)

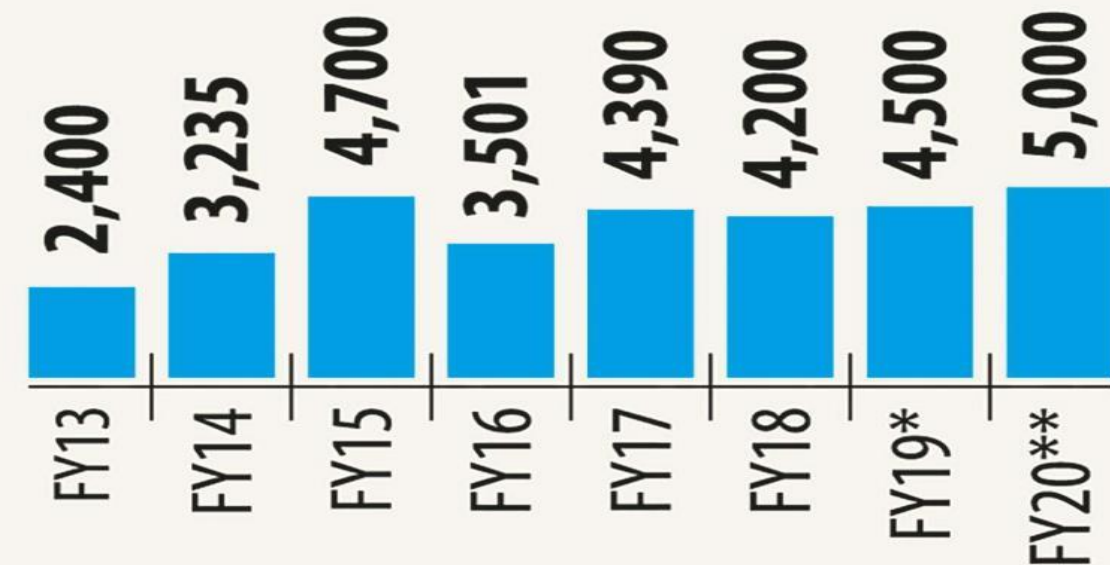
SOURCE: BBS



EXPORT SUBSIDY IN BUDGET

* Revised ** Draft

Figures in crore taka



Source:

<https://www.thedailystar.net/business/economy/bangladesh-gdp-growth-rate-2018-19-8.13-per-cent-1717291>

<https://www.dhakatribune.com/bangladesh/foreign-affairs/2019/06/14/bangladesh-sees-record-growth-in-fdi-trend-likely-to-continue>

Common Problems in Economic Sector in BD

- ☐ Corruption practices
- ☐ Political Instability
- ☐ Inadequate Government and Bureaucratic Structures
- ☐ Aid Dependence
- ☐ Over growth of Population
- ☐ Land Scarcity
- ☐ Natural Disaster
- ☐ Increase rate of Unemployment
- ☐ Patronize Bank Defaulters culture
- ☐ Lack of Knowledge and Skills
- ☐ Not ensure Financial Freedom
- ☐ Lack of Knowledge and Skills
- ☐ Not ensure financial freedom
- ☐ Improper combination & coordination
- ☐ Lack of skilled and sound manpower
- ☐ Improper role of various organizations
- ☐ Improper role of press and media
- ☐ Lack experience in foreign ministry
- ☐ Less experience of foreign diplomats
- ☐ Inequality
- ☐ Presence of black money

Some Measures for Economic Development of BD

- ☐ Build National & International Cooperation.
- ☐ Increase Remittances & Intellectual Investment.
- ☐ Need Market Expansion.
- ☐ Increase promotion of Trade Market.
- ☐ Increase labor force in the Industrial sector.
- ☐ Ensure proper uses of the Budget in every sector.
- ☐ Utilize the Demographic Dividend
- ☐ Should build up National Integration among political parties.
- ☐ Ensure Sustainable Development
- ☐ Stop Corruption and Mismanagement
- ☐ Need Good Governance and rule of law
- ☐ Create Employment by establishing new industry
- ☐ Emphasize on Foreign Direct Investment, Mega Projects
- ☐ Give incentive for the private sectors and entrepreneurs
- ☐ Utilize the youth generation in ICT sector

Chapter related Questions

- **What was the historical background of the economy of Bangladesh?**
- **‘Economy of Bangladesh is mixed one’-explain this statement.**
- **Discuss the nature of the economy of Bangladesh.**
- **What is budget? Discuss the process of making various budgets.**
- **What is SDG? Mention the key targets of it.**
- **What is Planning Commission? Narrate the history and functions of it.**
- **What is ECNEC? Write down the composition of ECNEC. Discuss the prime functions of it.**
- **Discuss the recent economic development trend of Bangladesh.**
- **What problems and challenges have in economic sector of Bangladesh and what needs are very much crucial for meeting these problems and challenges?**